

FEDERAL MARITIME COMMISSION

Docket Nos. 16-01, 16-07, 16-10 and 16-11

IN RE VEHICLE CARRIER SERVICES

**RESPONDENTS' CONSOLIDATED REPLY TO THE RESPONSE
TO THEIR CONSOLIDATED MOTION TO DISMISS**

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Respondents moved to dismiss the complaints filed in Docket Nos. 16-01 (the “Freight Forwarders Complaint”), 16-07 (the “End-Payers Complaint”), 16-10 (the “Truck Centers Complaint”), and 16-11 (the “Auto Dealers Complaint”). This consolidated reply is submitted to the response Complainants filed in opposition to that motion.¹

I. REPLY.

A. COMPLAINANTS’ FEDERAL COURT ANTITRUST CLASS ACTION CLAIMS DID NOT TOLL THE SHIPPING ACT’S STATUTE OF LIMITATIONS.

The Shipping Act’s three-year statute of limitations on Complainants’ reparations claims was not tolled by the antitrust complaints Complainants filed in federal court. The *American Pipe* class action tolling doctrine does not apply because the Shipping Act’s statute of limitations is jurisdictional and, thus, not subject to *American Pipe* tolling. Even if *American Pipe* tolling applies -- and it should not -- it cannot salvage Complainants’ time-barred claims because *American Pipe* does not allow for tolling across different statutes and forums.

1. The Shipping Act’s three-year statute of limitations is jurisdictional, and thus is not subject to tolling.

As a threshold matter, the Commission has never recognized *American Pipe* tolling. This is for good reason. Even if “the equities required it” -- which they do not -- Complainants’ claims cannot be tolled under *American Pipe & Construction Co. v. Utah*, 414 U.S. 538 (1973), because the Shipping Act’s statute of limitations is jurisdictional. The Commission and federal courts alike consistently have held that equitable tolling doctrines do not apply to jurisdictional statutes of limitation. *W. Overseas Trade and Dev. Corp. v. Asia N.Am. Eastbound Rate Agreement*, 26 S.R.R. 874, 885 (FMC 1993) (holding that Shipping Act’s

¹ Complainants did not address Respondents’ arguments concerning the propriety of service of process under the Hague Service Convention. Respondents note that, on May 22, 2017, *Water Splash, Inc. v. Menon*, 581 U.S. ___, ___ S. Ct. ___, 197 L. Ed. 2d 826 (2017), was decided; it provides the rule of decision on that issue, which can be separately addressed.

statute of limitations is “jurisdictional and cannot be waived” and thus “doctrine of equitable estoppel . . . has no application in Commission proceedings”).² Because the Shipping Act’s statute of limitations is jurisdictional, *American Pipe* tolling based on equitable considerations does not apply.³

2. *American Pipe* tolling does not save Complainants’ time-barred claims because Complainants’ federal complaints and Commission complaints were brought under different statutes and forums.

The Shipping Act claims Complainants assert are separate and distinct from the claims Complainants asserted in federal court; for that reason alone, *American Pipe* tolling does not apply. Complainants misconstrue *American Pipe* when they assert that their Shipping Act complaints should be tolled here because their “antitrust suits in federal court . . . [were] based on the same facts.” Resp. at 5. Identity of facts is irrelevant; *American Pipe* tolling is afforded only to subsequent individual causes of actions or claims identical to the ones alleged in the prior putative class action. *Johnson v. Ry. Express Agency, Inc.*, 421 U.S. 454, 467 (1975) (explaining that *American Pipe* tolling “depended heavily on the fact that those filings involved exactly the

² *W. Overseas Trade* cites several cases likewise holding that the Shipping Act’s statute of limitations is jurisdictional and cannot be waived. See *Fil-Am. Trading Co., Inc.*, 22 S.R.R. 1169, 1172 (1984); *Fiat-Allis Fr. Materials de Travaux Publics, S.A. v. Atl. Container Line*, 19 S.R.R. 1335, 1340-42 (1980); *Carton-Print, Inc. v. Austasia Container Express S.S. Co.*, 17 S.R.R. 571, 581 (1977). See also *Application of OOCL (USA) Inc., for the Benefit of Connell Bros. Co., Ltd.*, 25 S.R.R. 1064, 1067 (FMC 1990) (rejecting tolling, and holding that “[t]he Commission has consistently held that after the expiration of the statutory period it has no longer any authority to grant the relief provided in section 8(e) of the Act”); *FloorPro, Inc. v. United States*, 680 F.3d 1377, 1382 (Fed. Cir. 2012) (*per curiam*) (rejecting tolling where statute of limitations is “jurisdictional” and “sets forth ‘absolute’ time limit for filing suit” and thus “cannot be extended even in cases where such an extension might be justified on equitable grounds”); *Cada v. Baxter Healthcare Corp.*, 920 F.2d 446, 451 (7th Cir. 1990) (“Neither [equitable tolling nor equitable estoppel] applies to a jurisdictional statute of limitations.”).

³ Complainants’ reliance on *Bowen v. City of New York*, 476 U.S. 467, 480 (1986), likewise is misplaced; unlike here, *Bowen* addresses a non-jurisdictional statute of limitations.

same cause of action subsequently asserted”).⁴ Moreover, “the policies underlying *American Pipe* and like precedents simply do not apply in the cross-jurisdictional context,” such as between the federal courts and the Commission. *In re Copper Antitrust Litig.*, 436 F.3d 782, 794-95 (7th Cir. 2006) (rejecting attempt to apply *American Pipe* tolling to initial state antitrust class action and later federal antitrust actions).⁵ The Commission similarly should reject Complainants’ proposed tolling rule that “would allow an action in a jurisdictionally incompetent tribunal to toll the limitation for a lawsuit that it could never hear.” *Id.* at 796.⁶

In sum, even if *American Pipe* tolling applied -- and it does not and should not -- Complainants’ Shipping Act complaints do not qualify: Complainants have admitted that their respective complaints before this Commission and the federal courts are premised on different causes of actions, asserted in different forums, and involve different remedies.⁷ As the

⁴ See, e.g., *Zarecor v. Morgan Keegan & Co.*, 801 F.3d 882, 887-89 (8th Cir. 2015) (holding that “*American Pipe* tolling should be limited to claims filed in a later action that are the same as those pleaded in the putative class action” because, where underlying claims are different, none of rationales justifying *American Pipe* apply); *Raie v. Cheminova, Inc.*, 336 F.3d 1278, 1282-83 (11th Cir. 2003) (*per curiam*) (holding that class action asserting product liability claims did not toll statute of limitations for subsequent wrongful death action under *American Pipe*); *Weston v. AmeriBank*, 265 F.3d 366, 368-69 (6th Cir. 2001) (rejecting *American Pipe* tolling because state law claims are “separate and distinct” from Truth in Lending Act claims).

⁵ *In re Copper* explains that “[*Johnson v. Ry. Express Agency, Inc.*, 421 U.S. 454 (1975)] illustrates the principle that there must be identity of claims for tolling to be operative.” *Id.* at 796. The same compelling considerations apply with even greater force here: the differences between federal/state antitrust and unfair competition laws and the Shipping Act are greater than the differences between federal and state antitrust law present in *In re Copper*.

⁶ Like *American Pipe*, the Commission also never has recognized tolling across forums of the sort advocated by Complainants; the Commission should decline to adopt such an expansive and unprecedented tolling doctrine in this or any other case.

⁷ See March 1, 2017 Joint Status Report, at 2 (“The legal bases of Complainants’ claims in the MDL proceedings and before the Commission differ markedly under the relevant statutes. And the potential remedies likewise differ.” (emphasis supplied)).

Complainants’ reliance on *Military Sealift Command, Dep’t of the Navy v. Matson Navigation Co.*, 21 S.R.R. 459 (FMC 1982), and *Inlet Fish Producers, Inc. v. Sea-Land Services*,

Commission held, “the [Shipping Act’s] statute of limitations is tolled only by the filing of a complaint with the Commission.” *Fil-Am. Trading Co., Inc.*, 22 S.R.R. at 1172.

3. Complainants knew or should have known they had potential Shipping Act claims no later than September 6, 2012.

Even assuming the ordinary time-of-injury accrual rule does not apply, Complainants also fail to meet their burden of showing that they fall within “the discovery rule . . . exception to the time-bar provision.” *Maier Terminals, LLC v. Port Auth. of N.Y. & N.J.*, 32 S.R.R. 1185, 1193 (FMC 2013). Complainants make no effort to rebut the commonsense notion that reasonably diligent complainants “should have known” of potential Shipping Act claims no later than September 6, 2012, when widespread news publications reported on the “dawn raids” of Respondents’ offices and the accompanying global antitrust investigations. Complainants instead recycle conclusory allegations from their complaints and assert, with zero support, that they “had no means from which they could have discovered the combination and conspiracy alleged in the Complaints.” Resp. at 8-10. These conclusory statements -- with no supporting factual bases -- are insufficient to survive a motion to dismiss. *Ashcroft v. Iqbal*, 556 U.S. 662, 678 (2009) (“Threadbare recitals . . . supported by mere conclusory statements, do not suffice.” (citing *Bell Atl. Corp. v. Twombly*, 550 U.S. 544, 555 (2007))); *Maier Terminals, LLC v. Port*

Inc., 29 S.R.R. 306 (FMC 2001), is misplaced. Both involved the date of accrual of a cause of action; they do not address the issue of tolling present here. Unlike *Matson*, Complainants’ Shipping Act rights were not dependent on the outcome of, and could have advanced concurrently with, the federal court litigation, as the Complainants conceded in opposing a stay of these actions. March 1, 2017 Joint Status Report, at 1-2 (“Complainants intend to fully prosecute their claims under the Shipping Act regardless of the outcome of the MDL proceedings.”). And, the “flexible approach” adopted in *Inlet Fish* referred to circumstances where a “potential complainant was unable to identify the existence of its cause of action.” According to Complainants, they identified their claims and “diligently pursued them in the district courts[.]” Their failure to pursue their rights under the Shipping Act is not excused by the intentional and strategic pursuit of different rights under a different statute in a different forum.

Auth. of N.Y. & N.J., 33 S.R.R. 861, 867 (ALJ 2015) (Wirth, J.) (“The Commission need not accept legal conclusions cast in the form of factual allegations.”).⁸

Complainants seek to set aside the objective “should have known” component of the discovery rule by arguing “that the public announcement of dawn raids alone did not result in Complainants ‘knowing’ that they had a claim.” Resp. at 10, 12. Even if Complainants did not have actual knowledge, their claims still accrued then because they “should have known” of their claims based on widespread news reports of the dawn raids.⁹ Because the “should have known” legal standard is satisfied based on the complaint and materials of which the Presiding Officer can take official notice,¹⁰ Respondents’ motion to dismiss should be granted.

⁸ Complainants’ arguments regarding purported fraudulent concealment are beside the point: after September 6, 2012, any purported “fraud” was no longer concealed. Complainants also fail to identify any relevant events between September 6, 2012 and May 2013 (their proposed accrual date) that put them on notice of their potential claims. Complainants’ conclusion that their claims accrued in “May 2013 -- the date on which Complainants had completed a reasonable inquiry into the sufficiency of the factual contentions[,]” Resp. at 8, has no basis in fact or logic.

⁹ *Whirlpool Fin. Corp. v. GN Holdings*, 67 F.3d 605, 609-10 (7th Cir. 1995) (holding that “inquiry notice starts the running of the statute of limitations when the victim of the alleged fraud became aware of facts that would have led a reasonable person to investigate whether he might have a claim”). See also *Rakes v. United States*, 442 F.3d 7, 27 (1st Cir. 2006) (affirming dismissal on statute of limitations grounds); *Patterson v. U.S.*, 451 F.3d 268, 273 (1st Cir. 2006) (same); *Callahan v. U.S.*, 426 F.3d 444, 453-55 (1st Cir. 2005) (same); *McIntyre v. United States*, 367 F.3d 38, 48-61 (1st Cir. 2004) (same); *Brumbaugh v. Princeton Partners*, 985 F.2d 157, 162-64 (4th Cir. 1993) (same); *In re NovaGold Resources Inc. Secs. Litig.*, 629 F. Supp. 2d 272, 288-89 (S.D.N.Y. 2009) (dismissing complaint on statute of limitations grounds); *Tomlinson v. Goldman, Sachs & Co.*, 682 F. Supp. 2d 845, 845, 849 (N.D. Ill. 2009) (same); *Latham v. Matthews*, 662 F. Supp. 2d 441, 470 (D.S.C. 2009) (same).

¹⁰ See 46 C.F.R. § 502.226(a); *Maher Terminals, LLC v. Port Auth. of N.Y. & N.J.*, 34 S.R.R. 35, 49 n.1 (FMC 2015) (holding that Commission may consider matters subject to official notice on motion to dismiss); *Stevens Shipping and Terminal Co. v. S.C. State Ports Auth.*, 23 S.R.R. 267, 299 n.25 (ALJ 1985) (taking official notice of news article in Journal of Commerce); see also *Sandza v. Barclays Bank PLC*, 151 F. Supp. 3d 94, 113-14 (D.D.C. 2015) (taking judicial notice of news articles on motion to dismiss).

Contrary to Complainants' assertion that the news reports were "vague" and contained "no specific facts . . . which compel a finding that Claimants must have known they had been injured by the secret conspiracy," Resp. at 12-13, the widespread news reports were detailed and specific, identifying Respondents by name, listing the government authorities involved, and highlighting the allegations of price fixing and other cartel conduct in the ocean shipping of cars, trucks, construction equipment, and other products. Complainants -- had they been reasonably diligent -- "should have known" of their purported injuries and potential Shipping Act claims no later than September 6, 2012.¹¹ That is precisely the date when General Motors LLC ("GM"), a member of the putative class in Docket No. 16-01, said it became aware of potential Shipping Act claims against Respondents; yet, it was more than able to timely file its reparations complaint. Contrary to Complainants' unsupported assertion that GM's actions have "no bearing on the question of when the statute of limitation began to run on Complainants' claims," Resp. at 14, GM's actions speak loudly and forcefully to the point: if Complainants had acted with like reasonable diligence, they too would have discovered their purported injuries and potential Shipping Act claims no later than September 6, 2012, just like GM did, and they could have filed timely complaints before the Commission, like GM did.

B. COMPLAINANTS' STANDING ARGUMENTS LACK MERIT.

1. Complainants' waiver and estoppel arguments lack merit.

Complainants argue that Respondents either waived their right to contest standing, or they should be judicially estopped from doing so. In support, Complainants quote

¹¹ Complainants' argument that proper application of the discovery rule in circumstances such as these would require complainants to "rush to file" is disingenuous. Complainants knew of their claims well within the limitations period and faced no "rush to file." Instead, Complainants -- for their own strategic reasons -- chose to sit on their Shipping Act claims while they pursued their antitrust and unfair competition claims in federal court. They now must live with the consequences of that intentional choice.

selectively from statements made by Respondents' counsel to the U.S. Court of Appeals for the Third Circuit. Their arguments lack merit.

During oral argument, the Third Circuit asked Respondents' counsel if Respondents were "going to suggest the FMC lacks the authority to adjudicate the dispute." Resp. at 17. Respondents' counsel answered: "No, we're not going to suggest that they lack the authority to adjudicate disputes of the type alleged in the complaint." *Ibid.*; *see also id.* at 18. Remarkably, Complainants ignore the very next words by Respondents' counsel: "We may challenge standing. . . . So we have other defenses." Resp. Ex. "A" at 31 (emphasis supplied).

Under the same standards Complainants invoke, their waiver and estoppel arguments must fail. Given Respondents' clear statement that "[w]e may challenge standing," Complainants cannot possibly show that there has been a "voluntary, intentional relinquishment of a known right or privilege" for the purposes of waiver. *Port Auth. of N.Y. v. N.Y. Shipping Ass'n*, 22 S.R.R. 1329, 1346 (1985). Nor can they show, for estoppel purposes, that Respondents have taken a position "clearly inconsistent with" their "earlier position." *New Hampshire v. Maine*, 532 U.S. 742, 749-51 (2001).

In any event, standing cannot be waived. *FW/PBS, Inc. v. City of Dallas*, 493 U.S. 215, 230 (1990). The Commission has an independent obligation to ensure it has jurisdiction. *Crowley Liner Servs., Inc. and Trailer Bridge, Inc. v. P.R. Ports Auth.*, 29 S.R.R. 394, 396 (ALJ, 2001) ("It is elementary law that a tribunal should determine its jurisdiction before addressing the merits of a controversy brought before it. This principle is especially relevant when the tribunal has limited jurisdiction such as this Commission."). Private parties "cannot agree to waive jurisdiction of the agency charged with the statutory responsibility [for oversight]." *Anchor Shipping Co. v. Aliança Navegação e Logística Ltda.*, 30 S.R.R. 991, 997

(FMC 2006) (citation omitted). It cannot be disputed: neither of the doctrines of waiver and estoppel apply.

2. The indirect purchaser complainants lack standing.

The indirect purchaser complainants (“IPCs”) -- the End-Payers, the Truck Centers and the Auto Dealers -- argue that the Commission has not established a “direct purchaser” rule and that, if it has, it should not apply to them. They are wrong on both counts.

Although the Shipping Act permits “any person” to file a complaint, for more than 80 years the Commission and its predecessor agencies uniformly have interpreted the Shipping Act “to require rejection of reparations claims by persons who . . . claim reparations by arguing that the direct payor passed the carrier’s charges on to them.” *Gov’t of Guam v. Sea-Land Serv., Inc.*, 29 S.R.R. 894, 902 (ALJ Admin. Final 2002). None of the IPCs’ inapposite arguments alters the fact that the Commission expressly has adopted and applied a direct purchaser rule, and that rule interdicts the IPCs’ Shipping Act claims.

The IPCs also argue that the direct purchaser rule should not apply to them because it is “antiquated,” not suited for the “modern realities” of the shipping industry, and in conflict with the remedial nature of the Shipping Act. Yet, they fail to support those arguments or explain what “modern realities” make application of the rule inappropriate. Their argument that the direct purchaser rule is inconsistent with the remedial purposes of the Shipping Act ignores the fact that the rule has been applied consistently for many years, without any of the conflicts the IPCs now allege exist; the direct purchaser rule does not curtail reparations but, instead, specifies who may be entitled to them in the first place.

The IPCs’ suggestion -- that eliminating the direct purchaser rule furthers the remedial purposes of the Shipping Act -- is at odds with the entire federal structure of private

competition enforcement. That structure -- which was first adopted by the U.S. Shipping Board in *Oakland Motor Car Co. v. Great Lakes Transit Corp.*, 1 U.S.S.B. 308 (1934), and later in *Illinois Brick Co. v. Illinois*, 431 U.S. 720 (1977) -- restricts claims to direct purchasers and eliminates any “pass on” defense, thereby rejecting the morass of potential claims by anyone that touches a product in the chain of distribution. The Commission wisely has followed that regime.

The IPCs’ suggestion that the Commission should create an exception to this longstanding approach is at odds with the determination that exceptions to the *Illinois Brick* direct purchaser rule do not improve enforcement of the antitrust laws. *Kansas v. Utilicorp United, Inc.*, 497 U.S. 199, 214 (1990). Their citation to a cost-plus contract exception to *Illinois Brick* is irrelevant, as there is no such allegation in this case. There is no other exception to *Illinois Brick* that applies here. And, the IPCs’ reference to state repealer statutes equally is irrelevant: the Commission is a federal statutory agency applying a specific federal statute.

The Commission should adhere to its own precedents to avoid the precise concerns that undergird *Illinois Brick*; it should continue to avoid the quagmire indirect purchaser claims create.

The IPCs also claim that they somehow qualify as “shippers” under the Shipping Act. Even if the IPCs had some sort of equitable or beneficial interest in the cargo, it has no bearing on whether they were direct purchasers. Being a shipper is necessary but not enough to be a direct purchaser: the shipper also must have paid the freight. The IPCs do not plead that they paid the freight on the shipments transported by Respondents; they lack standing.

3. The direct purchaser complainants also lack standing.

The direct purchaser complainants (“DPCs”) -- the Freight Forwarders -- allege they are direct purchasers and avoid saying more by referring to general rules on standing. They

argue that (i) they could have been functioning as NVOCCs, and (ii) a freight forwarder may be a direct purchaser. These arguments ignore the fatal flaw in the DPCs' Complaint: it does not allege that each DPC -- or, for that matter, not even each named DPC -- paid freight for its own account. This is both an essential element of standing to seek reparations and is the "factual enhancement" mandated by *Iqbal*. The DPCs' argument that they may have been functioning as NVOCCs merely highlights the paucity of their allegations: candor requires that the DPCs admit that nowhere in their complaint do they allege that they are NVOCCs.

The DPCs' claim that freight forwarders may be direct purchasers likewise misses the mark: freight forwarders are not shippers.¹² *Dicta* suggesting that a forwarder theoretically may qualify as a shipper under rare and undefined circumstances, *Petition of Nat'l Customs Brokers & Forwarders Ass'n of Am. ("NCBFAA")*, 28 S.R.R. 1042, 1050 (1999), does not alter that basic premise.¹³ In *NCBFAA*, the Commission declined to define freight forwarders as shippers. *Id.* at 1051. The Commission later reaffirmed that a freight forwarder "cannot enter into a service contract with an ocean common carrier." *Kobel v. Hapag-Lloyd A.G.*, 32 S.R.R. 1720, 1742 (FMC 2013). The lesson is clear: whether a freight forwarder is an agent or an independent contractor, it is neither the shipper nor the purchaser of transportation services.¹⁴

¹² See *HUAL AS – Serv. Contracts, TVR Arrangements, Ocean Freight Forwarders*, 28 S.R.R. 372, 373 (1998) (stating that "a freight forwarder is an agent of the shipper and not the shipper").

¹³ It is telling that, after *NCBFAA*, the Commission assessed a civil penalty against E.H. Harms USA, Inc., a freight forwarder that allegedly violated the Shipping Act by entering into service contracts for its own account, further evidencing that freight forwarders cannot act as shippers under the Shipping Act. FMC News Release 00-17 (Nov. 30, 2000).

¹⁴ The cases cited by DPCs, Resp. at 24, all involved intermediaries that purchased the goods/services for their own account with no provision for reimbursement (*McCarthy*) or independently determined the price to be charged to the ultimate purchaser (*Warren Gen. Hosp.* and *Howard Hess*). Neither is true of the freight forwarder, which is not ultimately liable for payment of the ocean freight charges and does not independently establish a price for the ocean

C. COMPLAINANTS CANNOT MAINTAIN A CLASS ACTION BEFORE THE COMMISSION.

1. Respondents have not waived any arguments.

Complainants assert that Respondents waived the argument that class actions are unavailable “because they took the exact opposite position before the district court and Third Circuit.” Resp. at 34. That is simply and patently untrue. Respondents never indicated that the Commission could hear class actions, and, as explained above, Respondents expressly reserved their defenses before the Commission. Tellingly, Complainants fail to note that the only time the subject of class actions arose in the Third Circuit argument was when the court asked counsel for Complainants whether “a class action approach may be available” in the Commission, and he candidly admitted that this was an open question. Resp. Ex. A at 14-15 (Mr. Kilsheimer: “the FMC did inquire of counsel about that subject, . . . but there’s been no decision on that, there’s been no full briefing[.]”). The Third Circuit’s ruling did not in any way rely on the availability of class actions before the Commission and, in any event, statutory authority to hear class claims depends on Congress and cannot be manufactured by waiver or actions of the parties.

2. Complainants fail to establish that the Commission may or should hear class actions.

Both the Shipping Act and Commission precedent prohibit the Commission from hearing claims on behalf of non-parties or representative parties. Complainants nevertheless assert that the Commission has the authority to preside over class actions because the Shipping Act empowers the Commission to “investigate the complaint in an appropriate manner and make

transportation service. *See, e.g., Nat’l Shipping Co. v. Omni Lines, Inc.*, 106 F.3d 1544 (11th Cir. 1997) (holding that shipper remained responsible for paying freight to carrier when forwarder received money for payment from shipper, but failed to remit it to ocean carrier). In any event, the DPCs have failed to plead that they purchased transportation services from Respondents without a provision for reimbursement or that, when acting as freight forwarders, they independently determined the price paid by the ultimate purchaser.

an appropriate order.” Resp. at 44. But Complainants do not explain how the authority to investigate and “make an appropriate order” empowers the Commission to hear representative actions or, more importantly, to bind non-parties. In contrast, the text of § 41305(b), by limiting the remedy to “reparations to the complainant,” bars actions for reparations for shipments made by others. See *Gov’t of Guam v. Sea-Land Serv., Inc.*, 25 S.R.R. 842, 842 (ALJ 1990). It is elementary statutory interpretation that “specific terms prevail over the general in the same or another statute which otherwise might be controlling.” *Fourco Glass Co. v. Transmirra Prods Corp.*, 353 U.S. 222, 228 (1957). The Shipping Act’s general command to conduct an appropriate investigation and enter an appropriate order -- which is of marginal if no relevance in this context --must yield to the specific provision limiting the Shipping Act remedy of reparations to named complainants.

Complainants also misleadingly cite several cases as having “found” that class actions are available before the Commission. As noted, no such “finding” was made in any of the cases on which Complainants rely: the availability of class actions was not squarely presented for decision in any of those cases. Notwithstanding *dicta* on class actions, the Commission denied Mar-Mol’s claim for an order of restitution on behalf of others because “[t]he Act authorizes an award of reparations only to complainants, not to non-parties.” *Mar-Mol Co. v. Sea-Land Serv., Inc.*, 27 S.R.R. 1085, 1089 (FMC 1997). Similarly, *Gov’t of Guam v. American President Lines*, 28 F.2d 142, 148 (D.C. Cir. 1994), noted that the availability of class remedies under the Shipping Act was “still to be demonstrated.” There also is no reason to credit the *dicta* cited by Complainants over other cases that explicitly have noted that “the Commission lacks a class action procedure” and that class actions are “claims which the FMC could not hear.” *Gov’t of Guam v. Am. President Lines*, 809 F. Supp. 150, 155 (D.D.C. 1993); *P.R. Mar.*

Shipping Auth. v. Fed. Mar. Comm'n, 75 F.3d 63, 67 n.3 (1st Cir. 1996). Courts eschew relying on *dicta*; the Commission similarly should adhere to its consistent holdings limiting awards of reparations to named complainants.¹⁵

Complainants also greatly overstate the use of class actions by federal agencies. For example, Complainants assert that “seventy-one administrative agencies [] have adopted formal or informal aggregation procedures, including class action procedures.” Resp. at 42-43. But Complainants fail to note that the vast majority of these concern joinder, which is not at issue here. Only seven administrative agencies have class action procedures. And, as noted in the report selectively cited by Complainants -- in a portion of the report conspicuously absent from Complainants’ excerpts -- a number of agencies that do have class action authority “almost never use” that power. See Michael Sant’ Ambrogio & Adam Zimmerman, *Final Report: Aggregate Agency Adjudication*, 31 (June 9, 2016) (hereinafter “Agency Adj. Rep.”).¹⁶ Other agencies “have formally considered, and rejected, class action procedures, reasoning that they lack the capacity, authority, or good reason to do so.” *Ibid.*

Complainants further assert that hearing class actions would preserve the Commission’s resources. But, the Commission already can join similar cases for all parties that actually bring a complaint. In contrast, adopting class action procedures is more likely to invite years of protracted and complicated procedural motion practice on whether these varied claims

¹⁵ Complainants also argue that agencies “often” enjoy flexibility to craft their own procedures. Resp. at 41. This general rule is not implicated here: the Commission is limited by statute to awarding reparations to named complainants, and, in any event, the Commission has not implemented regulations that specify the procedures to follow were it to hear class actions.

¹⁶ To avoid confusion, a true and correct copy of the complete Agency Adj. Rep. is submitted as part of a supplemental appendix. See Ra 0396, *et seq.*

are suitable for resolution as one.¹⁷ That will create “diseconomies of scale”: it will “stretch adjudicators’ capacity to administer justice.” Ra0405; Ra0459.

Finally, Complainants argue that the Commission should jettison the requirements of the Administrative Procedure Act (“APA”), blindly skip notice and comment rulemaking, and adopt class actions on the fly. In doing so, the Commission would “depart[] radically” from previous interpretations of the Shipping Act, amounting to an abuse of discretion and a violation of the APA. *See Pfaff v. U.S. Dep’t of Hous. and Urban Dev.*, 88 F.3d 739, 748 (9th Cir. 1996) (holding that agency abused its discretion in adopting new interpretation in adjudication). Complainants’ assertion also conflicts with the Agency Adj. Rep.¹⁸ Adopting an ad hoc class action procedure in the context of these cases prevents public participation and comment, undermines the Commission’s legitimacy, makes the Commission an outlier among federal agencies, and violates basic tenets governing the development of administrative law.

D. THE COMPLAINTS FAIL TO STATE PROPER CLAIMS.

1. Complainants do not establish § 41102(c) subject matter jurisdiction.

Because the alleged wrongful conduct is outside the statutory scope of § 41102(c), Complainants fail to meet their burden of establishing the Commission’s subject matter jurisdiction over that claim.

¹⁷ The complexity of the class issues is readily apparent from Complainants’ own description of their purported class members. Resp. at 30-31 (grouping together potentially “hundreds of thousands of American consumers and businesses,” including freight forwarders, auto dealers, truck and equipment dealers, end payors, and even purchasers of “custom cars”).

¹⁸ The Agency Adj. Rep. explains that to “increase transparency and legitimacy . . . [a]gencies that use aggregation should develop written and publically available policies explaining how the agency initiates, conducts, and terminates aggregate proceedings.” Ra0476; *see also* 81 Fed. Reg. 40259, 40261 (adopting recommendation that agencies using aggregation “develop written and publicly available policies”).

Complainants' argument that § 41102(c)'s explicit limitation to the "receiving, handling, storing, or delivering property" should be read to include alleged price fixing, bid rigging, and market allocation for ocean transportation claims, Resp. at 45-46, is contrary to long-standing precedent that those transportation activities fall outside § 41102(c)'s scope. Complainants' efforts to distinguish the relevant precedents based on irrelevancies do nothing to blur their fundamental teaching: § 41102(c) does not cover ocean transportation practices.

Complainants' argument that their allegations could include "activities in port" within the scope of § 41102(c) is meritless. Resp. at 48. None of the Complaints allege facts about port activities; Complainants elsewhere characterize their Complaints as only alleging a "vehicle shipping services" conspiracy. Resp. at 3. No plausible reading of these Complaints finds any factual statements about port activities necessary to support jurisdiction for a § 41102(c) claim. And, Complainants' argument that a finding of no jurisdiction would frustrate the Commission's mandate to enforce the Shipping Act, Resp. at 48, is contradicted by their acknowledgement that their allegations may be considered under other sections. Resp. at 45.

2. Complainants failed to rebut that the Complaints must be dismissed for failure to state cognizable and plausible claims.

(a) The § 41102(c) claim also must be dismissed for failure to plead a cognizable violation.¹⁹

Complainants' § 41102(c) claim must be dismissed because, in addition to failing to establish subject matter jurisdiction, Complainants' antitrust allegations do not identify regulations or practices which were not established or enforced. Complainants assert -- in a single conclusory sentence -- that the claim is adequately pled. Resp. at 48. But they identify no allegations that plead the required elements for this claim. This basic failure constitutes

¹⁹ Alleged violation D of the Freight Forwarders Complaint, and alleged violation 3 of the End-Payers, Truck Centers and Auto Dealers Complaints.

abandonment and requires dismissal. *Ethypharm SA Fr. v. Abbott Labs.*, 598 F. Supp. 2d 611, 620 (D. Del. 2009) (dismissing claim when plaintiff failed “to articulate in some manner how its pleading meets the legal requirements of its claim”).

(b) Complainants generic Sherman Act allegations do not plead a plausible violation of § 41102(b).²⁰

Complainants’ “failure to file” claim is not sufficiently pled. They do not dispute that § 41102(b) claims must identify the alleged unfilled agreement(s) such that each Respondent has fair notice of its alleged involvement. Yet, their claims refer only to generic antitrust claim labels and identify no particular alleged agreement that was not filed contrary to the section.

Complainants’ scattershot attempt to meet their pleading obligations by referring to the near entirety of their antitrust allegations cannot suffice. Resp. at 49 n.46. Many of the allegations have no relevance to § 41102(b) claims. *See, e.g.*, Auto Dealer Compl. ¶¶ 88, 93-94, 97, 110. And, none of these allegations identify any specific agreement among any particular Respondents which allegedly should have been filed but was not. Respondents, therefore, are deprived of the fair notice Complainants’ allegations are required to provide. *McCullough v. Zimmer*, 382 F. App’x 225, 230 n.6 (3d Cir. 2010) (holding that complaint was deficient for failure to allege details as to nature of purported agreement). This claim must be dismissed.

(c) Complainants’ alleged § 40302 violation is not cognizable.

There is no private cause of action for violations of § 40302, and Complainants cite to no authority to the contrary. Resp. at 51-52. None of Complainants’ arguments revive that doomed action.

²⁰ Alleged violation B of the Freight Forwarders Complaint, and alleged violation 2 of the End-Payers, Truck Centers and Auto Dealers Complaints.

Complainants' assertion that private causes of action exist for the violation of any portion of the Shipping Act is contradicted by Commission precedent, which confirms that private causes of action do not lie in every nook and cranny of the Act. *See Anchor Shipping Co. v. Aliança Navegação e Logística Ltda.*, 31 S.R.R. 567, 571 (FMC 2009) (holding that "the Commission concludes that . . . neither section 6 nor 7 gives rise to a private cause of action for violation of the Shipping Act"). Further, Complainants ignore that § 40302 is not part of the Act's "Prohibitions and Penalties" or "Enforcement" chapters, 46 U.S.C. §§ 41101-41309, and creating private causes of actions outside those chapters is contrary to statutory interpretation principles. *Russello v. U.S.*, 464 U.S. 16, 23 (1983) (explaining presumption that Congress intentionally includes or excludes causes of action when it includes particular language in one section of a statute but omits it in another section). And, the sole case cited by Complainants -- *Shimkus v. Gersten Cos.*, 816 F.2d 1318 (9th Cir. 1987) -- addressed a court's authority to modify a consent order; it provides no support for the act of recognizing a new action. This non-existent claim must be dismissed.

(d) Complainants' antitrust allegations do not comprise a plausible or cognizable violation of § 41103(a).²¹

Complainants' antitrust allegations do not state a plausible violation of § 41103(a). The purported allegations about Suzuki's information, Resp. at 54, involve general price discussions and do not state the § 41103(a) claim elements. None of these allegations, for example, identify specific information allegedly disclosed, show that the information concerns property tendered or delivered to a common carrier, or establish that the information was disclosed without consent and outside the exceptions of § 41103(b). Moreover, Complainants

²¹ Alleged violation 4 of the End-Payors, Truck Centers and Auto Dealers Complaints; the Freight Forwarders Complaint does not allege a violation of § 41103(a).

failed to cite any on-point authority that enables them to pursue § 41103(a) reparations for alleged disclosures of information belonging to parties other than Complainants. Complainants' assumption that anyone can pursue a private cause of action for any violation of the Shipping Act is incorrect. Complainants' implausible, unsupported, and non-cognizable third-party § 41103(a) claim must be dismissed.

(e) Complainants do not sufficiently plead a plausible violation of § 41105(6).²²

Complainants' generic, recycled antitrust allegations fail to state facts that plausibly support the purported agreements to allocate in violation of § 41105(6).

Contrary to Complainants' unfounded assumption that antitrust allegations automatically state § 41105(6) claims, *see, e.g.*, Resp. at 56, "allocation" for the Sherman and Shipping Acts are not interchangeable. Unlike the Sherman Act, § 41105(6) narrowly defines "allocation" to encompass only those agreements that (a) prohibit a carrier from soliciting cargo from a particular shipper or (b) allocate shippers among specific carriers. It is evident that many of Complainants' allegations sound in antitrust rather than allocation as defined by § 41105(6). Complainants' recycling of their antitrust allegations effectively conceals which of the many alleged agreements purportedly violate § 41105(6). Respondents cannot be required to litigate such murky allegations. *See Twombly*, 550 U.S. at 555.

At most, the few antitrust allegations highlighted by Complainants assert only that some Respondents agreed to "respect" or refrain from bidding.²³ Resp. at 56-67. These

²² Alleged violation E of the Freight Forwarders Complaint, and alleged violation 6 of the End-Payers, Truck Centers and Auto Dealers Complaints.

²³ Complainants did not identify any alleged allocation involving Nissan Motor Car Carriers Co. Ltd., Kawasaki Kisen Kaisha, Ltd., Eukor Car Carriers Inc., or Compañía Sud Americana de Vapores S.A., even though they appear to allege § 41105(6) claims against all Respondents.

allegations do not state agreements to allocate as defined by § 41105(6) for a simple reason: Complainants failed to allege that Respondents were prohibited from soliciting cargo from a particular shipper or shippers were unable to ship with Respondents of their choice due to the alleged agreements. Tellingly, Complainants could not cite even a single relevant authority in support of these claims.

**(f) Complainants concede dismissal of their § 41104(10),
§ 41105(1), and 46 C.F.R. § 535.401 claims.**

Complainants did not defend their claims for alleged refusals to deal, in violation of §§ 41104(10) and 41105(1),²⁴ or their claims for alleged market allocation, in violation of 46 C.F.R. § 535.401.²⁵ Resp. at 55 n.59. These claims, therefore, are deemed abandoned and must be dismissed. *Walsh v. Nev. Dept. of Human Res.*, 471 F.3d 1033, 1037 (9th Cir. 2006) (“A plaintiff who makes a claim . . . but fails to raise the issue in response to a defendant’s motion to dismiss . . . effectively abandoned his claim[.]”).

II. CONCLUSION.

For the foregoing authority, arguments and reasons, Respondents respectfully pray that the complaints in Docket Nos. 16-01, 16-07, 16-10 and 16-11 be dismissed with prejudice, and that such other and further relief consistent with this prayer for relief be granted.

²⁴ Alleged violations E-F of the Freight Forwarders Complaint, and alleged violations 5-6 of the End-Payers, Truck Centers and Auto Dealers Complaints.

²⁵ Alleged violation C of the Freight Forwarders Complaint, and alleged violation 7 of the End-Payers, Truck Centers and Auto Dealers Complaints.

Respectfully submitted,

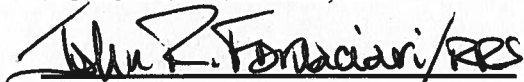
DATED: June 8, 2017



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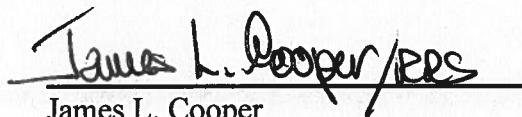
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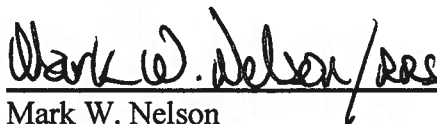


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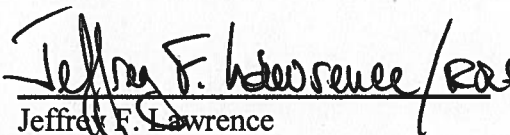


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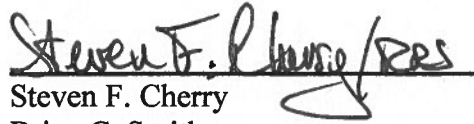
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CERTIFICATE OF SERVICE.

I hereby certify that, on June 8, 2017, true and correct copies of the foregoing consolidated reply to the response to the consolidated motion to dismiss, and supplemental appendix in support, were filed electronically with the Secretary of the Federal Maritime Commission, and electronic copies thereof were sent to all lead/liaison counsel for Complainants identified in the Commission's March 16, 2017 order.

DATED: June 8, 2017

A handwritten signature in black ink, appearing to read "Roberto A. Rivera-Soto", written over a horizontal line.

Roberto A. Rivera-Soto